

CUSTOMER RELATIONSHIP MANAGEMENT | MIM601 | By Anik

UNIT-1

Evolution of Customer Relationship Management

Evolution of Customer Relationship Management (CRM)

Customer Relationship Management (CRM) has evolved over time as businesses changed their focus from selling products to building long-term relationships with customers. In the beginning, organizations concentrated mainly on production and sales. With increasing competition and changing customer expectations, businesses realized the importance of understanding customer needs and maintaining customer satisfaction. Today, CRM integrates business strategies, processes, and technology to manage customer interactions and strengthen customer relationships.

1. Production Era

The Production Era was the earliest stage of business development. During this period, the demand for products was greater than the supply. Organizations focused on mass production to meet market demand. The primary objective was to manufacture as many products as possible while reducing production costs. Customer preferences and satisfaction were given very little importance because customers had limited choices.

2. Sales Era

As the number of manufacturers increased, competition became stronger. Businesses shifted their focus from production to selling products. Companies adopted aggressive selling techniques, advertising, and promotional activities to increase sales. The main objective during this period was to persuade customers to purchase products rather than understand their actual needs.

3. Marketing Era

The Marketing Era began when organizations realized that customer satisfaction was essential for business success. Companies started conducting market research to identify customer needs and preferences before developing products. Instead of producing first and selling later, businesses designed products according to market demand. Customer satisfaction became an important goal, and organizations adopted customer-oriented marketing strategies.

4. Relationship Marketing Era

Organizations recognized that retaining existing customers was more profitable and cost-effective than acquiring new customers. This led to the development of relationship marketing, which focused on building long-term relationships based on trust, commitment, and customer satisfaction. Businesses introduced loyalty programs, personalized services, after-sales support, and regular communication to strengthen relationships and encourage repeat purchases.

5. Modern CRM Era

Advancements in information technology transformed relationship marketing into modern Customer Relationship Management. Organizations now use CRM software to collect, store, manage, and analyze customer information. Modern CRM integrates sales, marketing, and

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customer service activities into a single system. Technologies such as cloud computing, artificial intelligence, data analytics, mobile applications, and social media help businesses understand customer behavior, personalize services, improve customer support, automate business processes, and make better business decisions. This enables organizations to build stronger customer relationships and improve overall business performance.

Customer Relationship Management (CRM) – Definition

Customer Relationship Management (CRM) is a business strategy used to build, maintain, and improve long-term relationships with customers. It involves managing customer interactions through people, processes, and technology to understand customer needs and provide better products and services. The main objective of CRM is to increase customer satisfaction, customer loyalty, customer retention, and business profitability.

Emergence of CRM Practice

Customer Relationship Management (CRM) emerged as businesses realized that customer satisfaction and long-term relationships are more important than simply selling products. With increasing competition and changing customer expectations, organizations shifted their focus from product-oriented marketing to customer-oriented marketing. The development of information technology, databases, the Internet, and CRM software further encouraged the adoption of CRM. Today, CRM helps organizations understand customer needs, improve customer service, retain customers, and increase profitability.

Factors Responsible for CRM Growth

The major factors responsible for the growth of Customer Relationship Management (CRM) are:

1. Increasing Competition

Growing competition among businesses forced organizations to focus on customer satisfaction and relationship building to retain customers and gain a competitive advantage.

2. Changing Customer Expectations

Customers now expect high-quality products, personalized services, quick responses, and excellent after-sales support. CRM helps organizations meet these expectations effectively.

3. Technological Advancements

Advances in information technology, database management systems, cloud computing, artificial intelligence, and the Internet have made it easier for organizations to collect, manage, and analyze customer data.

4. Need for Customer Retention

Acquiring new customers is more expensive than retaining existing ones. CRM helps organizations maintain long-term relationships, improve customer loyalty, and reduce customer attrition.

5. Availability of Customer Data

Organizations can collect customer information from websites, mobile applications, social media, and purchase histories. This data helps businesses understand customer behavior and make better decisions.

6. Growth of E-Commerce

The rapid expansion of online shopping has increased the need for effective customer relationship management. CRM enables businesses to provide personalized recommendations, efficient customer support, and faster services.

7. Focus on Customer Satisfaction

Organizations recognize that satisfied customers are more likely to make repeat purchases and recommend products or services to others. CRM helps improve customer satisfaction by addressing customer needs effectively.

8. Integration of Business Functions

CRM integrates sales, marketing, and customer service into a single system, improving communication, coordination, and overall organizational efficiency.

9. Globalization

Businesses now serve customers across different regions and countries. CRM helps organizations manage customer relationships efficiently in global markets through centralized customer information.

10. Business Profitability

Strong customer relationships lead to repeat purchases, increased customer lifetime value, positive word-of-mouth, and higher profitability. As a result, organizations increasingly adopt CRM as a strategic business tool.

CRM Process

The **CRM Process** is a systematic approach used by organizations to acquire new customers, maintain relationships with existing customers, and increase customer loyalty and profitability.

1. Customer Identification

The first step is to identify potential and existing customers. Organizations collect basic customer information such as name, contact details, preferences, and purchasing behavior.

2. Customer Segmentation

Customers are grouped into different categories based on factors such as age, income, location, buying habits, and preferences. This helps businesses provide targeted products and services.

3. Customer Interaction

Organizations communicate with customers through various channels such as telephone, email, websites, social media, mobile applications, and face-to-face meetings. Effective communication helps understand customer needs and build trust.

4. Customization

Based on customer information, organizations provide personalized products, services, offers, and recommendations. Personalization improves customer satisfaction and strengthens relationships.

5. Customer Service

Businesses provide quality customer service before, during, and after the sale. They handle customer inquiries, complaints, feedback, and after-sales support to ensure customer satisfaction.

6. Customer Retention

Organizations implement loyalty programs, discounts, rewards, personalized communication, and regular follow-ups to retain existing customers and encourage repeat purchases.

7. Performance Evaluation

The final step is to evaluate the effectiveness of CRM by analyzing customer satisfaction, customer loyalty, sales growth, and feedback. The results help organizations improve their CRM strategies.

Framework of CRM

The **CRM Framework** provides the structure for managing customer relationships effectively. It integrates people, business processes, technology, and customer information.

1. People

People are the most important part of CRM. They include employees, managers, sales representatives, customer service staff, and customers. Employees must understand customer needs and provide quality service to build long-term relationships.

2. Process

CRM processes include customer acquisition, customer service, complaint handling, sales management, marketing activities, and customer retention. Well-designed processes improve efficiency and customer satisfaction.

3. Technology

Technology supports CRM by storing and managing customer information. CRM software, databases, cloud computing, artificial intelligence, and communication systems help organizations automate sales, marketing, and customer service activities.

4. Data

Customer data includes personal details, purchase history, feedback, preferences, and communication records. Organizations analyze this data to understand customer behavior and make better business decisions.

Benefits of CRM

Customer Relationship Management provides several benefits to organizations as well as customers.

1. Improves Customer Satisfaction

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CRM helps organizations understand customer needs and provide better products and services.

2. Increases Customer Loyalty

Good relationships encourage customers to continue purchasing from the same organization.

3. Enhances Customer Retention

CRM helps retain existing customers through personalized services and effective after-sales support.

4. Better Customer Service

Organizations can respond quickly to customer inquiries, complaints, and service requests.

5. Increases Sales and Revenue

Satisfied and loyal customers make repeat purchases, increasing business sales and profitability.

6. Personalized Marketing

CRM enables organizations to design marketing campaigns according to customer preferences and buying behavior.

7. Better Decision-Making

Customer data and reports help managers make informed business decisions.

8. Improved Communication

CRM improves communication between the organization and its customers through multiple communication channels.

9. Cost Reduction

Automation of sales, marketing, and customer service activities reduces operational and marketing costs.

10. Competitive Advantage

Organizations with effective CRM can build stronger customer relationships, improve their reputation, and gain an advantage over competitors.

Types of CRM

Customer Relationship Management (CRM) can be classified into three main types:

1. Operational CRM

Operational CRM focuses on automating and improving day-to-day business activities such as sales, marketing, and customer service. It helps organizations manage customer interactions efficiently and provide faster services.

Functions:

- Sales automation
- Marketing automation
- Customer service and support
- Complaint handling

2. Analytical CRM

Analytical CRM focuses on collecting, storing, and analyzing customer data. It helps organizations understand customer behavior, identify buying patterns, and make better business decisions.

Functions:

- Customer data analysis
- Customer segmentation
- Sales forecasting
- Performance reporting

3. Collaborative CRM

Collaborative CRM improves communication and information sharing between different departments and customers. It ensures that all departments work together to provide better customer service.

Functions:

- Information sharing
- Customer communication
- Coordination between departments
- Multi-channel customer support

Scope of CRM

The scope of CRM covers all activities related to acquiring, serving, and retaining customers.

1. Customer Acquisition

Identifying potential customers and converting them into buyers.

2. Customer Retention

Maintaining long-term relationships through quality service and customer satisfaction.

3. Sales Management

Managing sales activities, tracking leads, and increasing sales performance.

4. Marketing Management

Planning and executing marketing campaigns based on customer needs and preferences.

5. Customer Service

Providing pre-sales and after-sales support, resolving complaints, and handling customer queries.

6. Customer Data Management

Collecting, storing, and analysing customer information for better decision-making.

7. Business Growth

Increasing customer loyalty, improving profitability, and achieving long-term business success.

Customer Profitability

Customer Profitability refers to the profit earned by an organization from a customer after deducting the total cost of acquiring, serving, and retaining that customer. It helps organizations identify valuable customers and allocate resources effectively.

Importance of Customer Profitability

1. Identifies the most profitable customers.
2. Improves customer retention strategies.
3. Supports better marketing decisions.
4. Reduces unnecessary service costs.
5. Increases business profitability.
6. Helps allocate resources efficiently.
7. Builds long-term customer relationships.
8. Improves overall business performance.

Features and Trends in CRM

Features of CRM

1. **Customer-Centric Approach** – Focuses on understanding and satisfying customer needs.
2. **Customer Database Management** – Stores and manages customer information in a centralized database.
3. **Sales Automation** – Automates sales activities such as lead management and order processing.
4. **Marketing Automation** – Helps in planning and executing marketing campaigns.
5. **Customer Service and Support** – Provides quick responses to customer queries and complaints.

6. **Data Analysis and Reporting** – Analyses customer data to support business decisions.
7. **Multi-Channel Communication** – Interacts with customers through email, phone, websites, mobile apps, and social media.
8. **Customer Retention** – Builds long-term relationships and improves customer loyalty.

Trends in CRM

1. **Cloud-Based CRM** – CRM systems are increasingly hosted on the cloud for easy access and lower costs.
2. **Artificial Intelligence (AI)** – AI is used for customer support, recommendations, and predictive analysis.
3. **Mobile CRM** – Employees can access CRM systems using smartphones and tablets.
4. **Social CRM** – Organizations interact with customers through social media platforms.
5. **Big Data Analytics** – Businesses analyse large volumes of customer data to understand customer behaviour.
6. **Personalization** – Products, services, and marketing campaigns are customized according to customer preferences.

CRM and Cost-Benefit Analysis

Cost-Benefit Analysis (CBA) is the process of comparing the costs of implementing a CRM system with the benefits it provides. It helps organizations determine whether investing in CRM is financially beneficial.

Costs of CRM

1. Software purchase or subscription.
2. Hardware and infrastructure costs.
3. Employee training costs.
4. System implementation and maintenance costs.
5. Data migration and technical support costs.

Benefits of CRM

1. Improves customer satisfaction.
2. Increases customer retention.
3. Enhances sales and revenue.
4. Reduces marketing and operational costs.
5. Improves employee productivity.
6. Supports better business decisions through customer data.

CRM and Relationship Marketing

Relationship Marketing is a marketing approach that focuses on developing and maintaining long-term relationships with customers rather than only increasing sales. CRM supports relationship marketing by collecting customer information, improving communication, and providing personalized services.

Relationship between CRM and Relationship Marketing

1. Both focus on building long-term customer relationships.
2. Both aim to improve customer satisfaction and loyalty.
3. CRM provides customer data that supports relationship marketing strategies.
4. CRM enables personalized communication and services.
5. Both encourage repeat purchases and customer retention.
6. Both contribute to increased profitability and sustainable business growth.

UNIT-2

CRM Concepts

Customer Value

Customer Value is the perceived benefit that a customer receives from a product or service compared to the cost paid for it. It is the difference between the total benefits received and the total cost incurred by the customer.

Components of Customer Value

1. **Product Value** – Benefits obtained from the quality and features of the product.
2. **Service Value** – Benefits received from customer service and after-sales support.
3. **Personnel Value** – Benefits gained from employees' knowledge, behavior, and responsiveness.
4. **Image Value** – Benefits associated with the organization's brand and reputation.

Importance of Customer Value

1. Increases customer satisfaction.
2. Builds customer loyalty.
3. Encourages repeat purchases.
4. Creates a competitive advantage.

5. Increases business profitability.
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Customer Expectation

Customer Expectation refers to the level of quality, service, and overall experience that customers anticipate before purchasing or using a product or service. These expectations are influenced by previous experiences, advertisements, reviews, brand image, and recommendations.

Factors Influencing Customer Expectation

1. Previous customer experience.
2. Advertising and promotions.
3. Brand reputation.
4. Word-of-mouth recommendations.
5. Price of the product or service.
6. Competitors' offerings.

Importance of Customer Expectation

1. Helps organizations understand customer needs.
 2. Improves service quality.
 3. Increases customer satisfaction.
 4. Builds trust and loyalty.
 5. Supports long-term customer relationships.
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Customer Satisfaction

Customer Satisfaction is the degree to which a product or service meets or exceeds customer expectations. A customer is satisfied when the actual performance of the product or service matches or surpasses what they expected.

Factors Affecting Customer Satisfaction

1. Product quality.
2. Service quality.
3. Price.

4. Timely delivery.
5. After-sales service.
6. Complaint handling.

Importance of Customer Satisfaction

1. Increases customer loyalty.
2. Encourages repeat purchases.
3. Generates positive word-of-mouth.
4. Improves customer retention.
5. Enhances business reputation.
6. Increases sales and profitability.

Customer Centricity

Customer Centricity is a business approach in which the customer is placed at the center of all business activities. It focuses on understanding customer needs, preferences, and expectations to provide superior products, services, and experiences. The main objective of customer centricity is to build long-term customer relationships and improve customer satisfaction.

Characteristics of Customer Centricity

1. Focus on customer needs and expectations.
2. Personalized products and services.
3. High-quality customer service.
4. Continuous customer feedback and improvement.
5. Long-term relationship building.

Benefits of Customer Centricity

1. Improves customer satisfaction.
2. Increases customer loyalty.
3. Enhances customer retention.
4. Builds a positive brand image.
5. Increases sales and profitability.

Customer Acquisition

Customer Acquisition is the process of attracting and converting potential customers into actual customers. It involves various marketing and sales activities to increase the customer base of an organization.

Customer Acquisition Process

1. Identify target customers.
2. Create awareness through marketing.
3. Generate customer interest.
4. Convert prospects into customers.
5. Build relationships after purchase.

Importance of Customer Acquisition

1. Increases the customer base.
2. Improves sales and revenue.
3. Expands market share.
4. Supports business growth.
5. Creates opportunities for long-term relationships.

Customer Retention

Customer Retention is the ability of an organization to keep its existing customers for a long period by providing quality products, excellent service, and customer satisfaction. It aims to encourage repeat purchases and build customer loyalty.

Methods of Customer Retention

1. Provide quality products and services.
2. Offer excellent customer support.
3. Introduce loyalty and reward programs.
4. Maintain regular communication with customers.
5. Resolve customer complaints quickly.

6. Provide personalized offers and services.

Benefits of Customer Retention

1. Increases customer loyalty.
2. Encourages repeat purchases.
3. Reduces customer acquisition costs.
4. Improves customer lifetime value.
5. Increases business profitability.
6. Strengthens long-term customer relationships.

Customer Loyalty

Customer Loyalty is the willingness of customers to continue purchasing products or services from the same organization over a long period. Loyal customers repeatedly buy from the same company because they are satisfied with its products, services, and overall experience.

Factors Affecting Customer Loyalty

1. High-quality products and services.
2. Customer satisfaction.
3. Good customer service.
4. Fair pricing.
5. Brand reputation.
6. Loyalty and reward programs.

Importance of Customer Loyalty

1. Encourages repeat purchases.
2. Increases customer retention.
3. Reduces marketing costs.
4. Generates positive word-of-mouth.
5. Increases sales and profitability.

Customer Lifetime Value (CLV)

Customer Lifetime Value (CLV) is the total profit or revenue that an organization expects to earn from a customer throughout the entire period of their relationship. It helps businesses identify valuable customers and make better marketing and customer retention decisions.

Importance of Customer Lifetime Value

1. Identifies profitable customers.
 2. Improves customer retention strategies.
 3. Supports better marketing decisions.
 4. Increases long-term profitability.
 5. Helps allocate business resources effectively.
 6. Strengthens customer relationships.
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Customer Experience Management (CEM)

Customer Experience Management (CEM) is the process of managing and improving every interaction between an organization and its customers to provide a positive and consistent customer experience. It focuses on understanding customer expectations and enhancing satisfaction at every stage of the customer journey.

Components of Customer Experience Management

1. Understanding customer needs.
2. Managing customer interactions.
3. Collecting customer feedback.
4. Providing personalized services.
5. Continuously improving customer experience.

Benefits of Customer Experience Management

1. Improves customer satisfaction.
2. Increases customer loyalty.
3. Enhances customer retention.
4. Builds a positive brand image.
5. Increases sales and business profitability.

Customer Profitability

Customer Profitability refers to the profit earned by an organization from a customer after deducting the total cost of acquiring, serving, and retaining that customer. It helps businesses identify valuable customers and focus on maintaining long-term relationships with them.

Importance of Customer Profitability

1. Identifies profitable customers.
 2. Improves customer retention strategies.
 3. Supports better marketing decisions.
 4. Reduces unnecessary service costs.
 5. Increases business profitability.
 6. Helps allocate resources efficiently.
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Enterprise Marketing Management (EMM)

Enterprise Marketing Management (EMM) is a system that helps organizations plan, execute, monitor, and evaluate all marketing activities efficiently. It integrates marketing processes, customer data, and business strategies to improve marketing performance and customer relationships.

Components of Enterprise Marketing Management

1. Marketing planning.
2. Campaign management.
3. Budget management.
4. Customer data management.
5. Performance analysis.

Benefits of Enterprise Marketing Management

1. Improves marketing efficiency.
 2. Enhances customer targeting.
 3. Reduces marketing costs.
 4. Supports better decision-making.
 5. Increases sales and profitability.
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Customer Satisfaction Measurements

Customer Satisfaction Measurement is the process of evaluating how well an organization's products or services meet customer expectations. It helps businesses identify customer needs, improve service quality, and strengthen customer relationships.

Methods of Measuring Customer Satisfaction

1. Customer surveys.
2. Feedback forms.
3. Interviews.
4. Complaint analysis.
5. Online reviews and ratings.
6. Customer Satisfaction Score (CSAT).

Importance of Customer Satisfaction Measurement

1. Identifies customer needs.
 2. Improves product and service quality.
 3. Increases customer loyalty.
 4. Reduces customer complaints.
 5. Supports continuous improvement.
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Web-Based Customer Support

Web-Based Customer Support refers to providing customer service through internet-based platforms. It enables customers to receive assistance quickly and conveniently without visiting the organization.

Types of Web-Based Customer Support

1. Live chat.
2. Email support.
3. Chatbots.
4. Online help desk.
5. Frequently Asked Questions (FAQs).

6. Social media support.

Benefits of Web-Based Customer Support

1. Provides 24/7 customer assistance.
2. Reduces response time.
3. Improves customer satisfaction.
4. Lowers support costs.
5. Enables quick problem resolution.
6. Increases customer convenience.

UNIT-3

Planning for CRM

Planning for CRM

Planning for Customer Relationship Management (CRM) is the process of developing strategies and procedures to build, maintain, and strengthen long-term relationships with customers. Effective CRM planning helps organizations improve customer satisfaction, increase customer loyalty, and achieve business objectives.

Steps in Planning for CRM

1. Define CRM Objectives

The organization should clearly define its CRM goals, such as improving customer satisfaction, increasing customer retention, or enhancing sales.

2. Identify Target Customers

Identify and segment customers based on their needs, preferences, purchasing behavior, and profitability.

3. Collect Customer Information

Gather customer data from various sources such as websites, social media, surveys, purchase history, and customer feedback.

4. Select CRM Strategy

Choose appropriate CRM strategies to improve customer relationships, marketing, sales, and customer service.

5. Implement CRM Technology

Adopt CRM software and related technologies to manage customer information and automate business processes.

6. Train Employees

Provide training to employees so they can effectively use CRM systems and deliver better customer service.

7. Monitor and Evaluate

Regularly measure CRM performance using customer feedback, sales reports, and customer satisfaction to identify areas for improvement.

Steps in Planning for CRM

Planning is an important stage in Customer Relationship Management (CRM). It helps an organization develop effective strategies to build strong customer relationships, improve customer satisfaction, and achieve business objectives. A well-planned CRM system ensures that customer information is collected, managed, and used efficiently. The major steps involved in CRM planning are discussed below.

1. Building Customer Centricity

Customer Centricity means placing the customer at the center of all business activities. Every department of the organization, such as sales, marketing, production, and customer service, should work together to satisfy customer needs and expectations.

An organization should understand customer requirements, provide quality products and services, respond quickly to customer complaints, and maintain regular communication. Employees should be trained to deliver excellent customer service and develop long-term relationships with customers. A customer-centric organization focuses not only on acquiring customers but also on retaining them by providing value and satisfaction.

Importance of Building Customer Centricity

- Improves customer satisfaction.
 - Increases customer loyalty.
 - Enhances customer retention.
 - Builds long-term customer relationships.
 - Increases sales and business profitability.
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2. Setting CRM Objectives

Before implementing CRM, an organization should clearly define its objectives. CRM objectives provide direction to the organization and help measure the success of CRM implementation. The objectives should be realistic, measurable, and aligned with the overall business goals.

Common CRM Objectives

- Improve customer satisfaction.
- Increase customer loyalty.
- Enhance customer retention.
- Acquire new customers.
- Improve customer service quality.
- Increase sales and revenue.
- Reduce customer complaints.
- Improve communication with customers.
- Increase business profitability.

Clearly defined objectives help organizations allocate resources effectively and evaluate CRM performance.

3. Defining Data Requirements

Customer data is one of the most valuable resources in CRM. Organizations should identify what information is required, how it will be collected, where it will be stored, and how it will be used. The data should be accurate, complete, and regularly updated.

Types of Customer Data

- Personal information (Name, Age, Gender)
- Contact details (Phone number, Email, Address)
- Purchase history
- Payment records
- Customer preferences
- Customer feedback
- Complaint history
- Communication records

Proper customer data enables organizations to understand customer behavior, personalize services, and make informed business decisions.

4. Planning Desired Outputs

Desired outputs are the expected results generated by the CRM system. These outputs provide useful information to managers for decision-making and business planning. Organizations should determine the type of reports and information required before implementing CRM.

Desired Outputs of CRM

- Customer profile reports
- Customer satisfaction reports
- Sales reports
- Marketing campaign reports
- Customer retention reports
- Customer profitability reports
- Complaint analysis reports
- Performance reports

Well-designed outputs help organizations monitor customer relationships, evaluate business performance, and improve decision-making.

5. Relevant Issues While Planning the Outputs

While planning CRM outputs, organizations should consider several important issues to ensure that the information produced is useful and reliable.

Relevant Issues

Data Accuracy:

The reports should be based on accurate and error-free customer information.

Data Security and Privacy:

Customer information should be protected from unauthorized access and misuse.

Timeliness:

Reports should be generated on time so that managers can make quick decisions.

Relevance of Information:

Only useful and meaningful information should be included in the reports.

Ease of Understanding:

Reports should be simple, clear, and easy to interpret.

Regular Updating:

Customer data and reports should be updated regularly to reflect current information.

Flexibility:

The CRM system should be capable of generating different types of reports according to organizational requirements.

Decision Support:

The outputs should help managers solve problems, improve customer service, and make better strategic decisions.

Considering these factors ensures that the CRM system provides reliable information, supports effective planning, and contributes to customer satisfaction and organizational success.

Elements of CRM Plan

A **CRM Plan** consists of the essential components that help an organization implement Customer Relationship Management effectively. These elements ensure better customer relationships, improved customer satisfaction, and business growth.

1. Customer Strategy

Customer strategy defines how the organization will acquire, satisfy, and retain customers. It focuses on understanding customer needs and building long-term relationships.

2. Customer Information

Customer information includes personal details, contact information, purchase history, preferences, and feedback. Accurate customer data helps organizations provide personalized products and services.

3. CRM Technology

CRM technology includes CRM software, databases, and communication tools used to store customer information, automate business processes, and improve customer service.

4. Business Processes

Business processes include sales, marketing, customer service, complaint handling, and after-sales support. Well-defined processes improve coordination and customer satisfaction.

5. People

People include employees, managers, sales representatives, and customers. Employees should be trained to use CRM systems effectively and provide quality customer service.

6. Communication

Effective communication through email, phone, websites, mobile applications, and social media helps maintain strong customer relationships and resolve customer issues quickly.

7. Performance Measurement

Organizations should regularly evaluate CRM performance using indicators such as customer satisfaction, customer retention, sales growth, and customer loyalty.

8. Continuous Improvement

Customer feedback should be collected regularly to identify weaknesses and improve CRM strategies, products, and services according to changing customer needs.

CRM Strategy

CRM Strategy is a customer-focused business strategy that helps an organization acquire new customers, retain existing customers, and build long-term profitable relationships. It integrates people, processes, and technology to understand customer needs, improve customer satisfaction, and achieve business objectives.

Objectives of CRM Strategy

- Improve customer satisfaction.
- Increase customer loyalty.
- Enhance customer retention.
- Acquire new customers.
- Improve customer service.
- Increase sales and profitability.
- Build long-term customer relationships.

Importance of CRM Strategy

- Helps understand customer needs.
 - Provides personalized products and services.
 - Improves customer experience.
 - Creates a competitive advantage.
 - Supports sustainable business growth.
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The Strategy Development Process

The Strategy Development Process is the systematic approach used to develop and implement an effective CRM strategy.

1. Analyze the Business Environment

The organization studies market conditions, customer needs, competitors, and business opportunities.

2. Identify Customer Needs

Customer expectations, preferences, and buying behavior are analyzed to understand customer requirements.

3. Set CRM Objectives

Clear and measurable objectives are established, such as increasing customer satisfaction, improving retention, and increasing sales.

4. Develop CRM Strategy

Appropriate strategies are designed for customer acquisition, customer retention, customer service, and relationship building.

5. Implement the Strategy

CRM software, business processes, and trained employees are used to execute the CRM strategy.

6. Monitor and Evaluate

The organization measures CRM performance using customer satisfaction, customer loyalty, retention rate, and sales growth. Necessary improvements are made based on the results.

Customer Strategy Grid

The **Customer Strategy Grid** is a framework that helps organizations develop different strategies based on customer value and customer relationship potential. It enables businesses to allocate resources effectively and maximize profitability.

Types of Customer Strategy Grid

1. High Value – High Relationship Potential

These customers are highly profitable and have strong long-term relationship potential. Organizations should provide personalized services, loyalty programs, and premium support to retain them.

2. High Value – Low Relationship Potential

These customers generate high profits but may not remain loyal. Organizations should focus on improving customer engagement and increasing customer loyalty.

3. Low Value – High Relationship Potential

These customers currently generate low profits but have the potential to become valuable customers in the future. Organizations should nurture these customers through quality service and targeted marketing.

4. Low Value – Low Relationship Potential

These customers contribute less profit and have limited growth potential. Organizations should provide standard services while minimizing the cost of serving them.

UNIT-4

CRM and Marketing Strategy

CRM and Marketing Strategy work together to build strong customer relationships and achieve business objectives. While marketing strategy focuses on attracting and satisfying customers, CRM helps maintain long-term relationships by understanding customer needs, preferences, and buying behavior.

CRM provides customer information that enables organizations to develop effective marketing strategies, deliver personalized products and services, and improve customer satisfaction. It also helps identify target customers, measure marketing performance, and increase customer loyalty.

Objectives of CRM and Marketing Strategy

- Understand customer needs and preferences.
- Attract new customers.
- Retain existing customers.
- Improve customer satisfaction.
- Increase customer loyalty.
- Increase sales and profitability.

Benefits of CRM and Marketing Strategy

- Better customer segmentation.
- Personalized marketing campaigns.
- Improved customer communication.

- Effective use of customer data.
 - Higher customer retention.
 - Increased business growth.
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CRM Marketing Initiatives

CRM Marketing Initiatives are activities and programs undertaken by an organization to attract, satisfy, and retain customers using CRM tools and customer information.

Major CRM Marketing Initiatives

1. Customer Segmentation

Customers are grouped based on age, income, location, purchasing behavior, and preferences to provide targeted marketing.

2. Personalized Marketing

Organizations offer customized products, services, and promotional messages according to customer needs.

3. Loyalty Programs

Reward programs, discounts, coupons, and membership benefits are introduced to encourage repeat purchases.

4. Direct Marketing

Organizations communicate directly with customers through emails, SMS, telephone calls, and mobile applications.

5. Cross-Selling and Up-Selling

Businesses recommend related or higher-value products to increase customer value and sales.

6. Customer Feedback Management

Organizations collect customer feedback through surveys, reviews, and complaints to improve products and services.

7. Digital Marketing

CRM supports online marketing through websites, social media, email marketing, and online advertisements to reach a wider audience.

Benefits of CRM Marketing Initiatives

- Improves customer satisfaction.

- Increases customer loyalty.
- Enhances customer retention.
- Improves marketing effectiveness.
- Increases sales and revenue.
- Strengthens long-term customer relationships.

Sales Force Automation (SFA)

Sales Force Automation (SFA) is a CRM application that uses software to automate and manage sales activities. It helps sales representatives perform their tasks more efficiently by reducing manual work and improving customer interactions.

Functions of Sales Force Automation

1. Lead Management

Identifies and manages potential customers until they become actual customers.

2. Contact Management

Stores customer information such as names, addresses, phone numbers, email IDs, and communication history.

3. Opportunity Management

Tracks sales opportunities and monitors the progress of potential deals.

4. Sales Forecasting

Predicts future sales based on customer data and previous sales records.

5. Order Management

Manages customer orders from placement to delivery.

6. Report Generation

Generates sales reports to help managers monitor employee performance and business growth.

Benefits of Sales Force Automation

- Improves sales productivity.
- Reduces manual work.
- Enhances customer service.

- Improves sales forecasting.
 - Increases sales and profitability.
 - Maintains accurate customer records.
-

Campaign Management

Campaign Management is the process of planning, executing, monitoring, and evaluating marketing campaigns to promote products or services and achieve business objectives. CRM helps organizations manage campaigns more effectively by using customer information.

Steps in Campaign Management

1. Planning

Define campaign objectives, target customers, budget, and marketing channels.

2. Customer Segmentation

Divide customers into groups based on age, location, income, interests, or buying behavior.

3. Campaign Execution

Launch the marketing campaign through email, SMS, social media, websites, television, or newspapers.

4. Monitoring

Track campaign performance by measuring customer responses, sales, and engagement.

5. Evaluation

Analyze campaign results and identify areas for improvement.

Benefits of Campaign Management

- Reaches the right customers.
 - Improves marketing effectiveness.
 - Increases customer engagement.
 - Reduces marketing costs.
 - Improves return on investment (ROI).
 - Increases sales and customer satisfaction.
-

Call Centres

A **Call Centre** is a centralized department that handles customer communication through telephone and other communication channels. It provides customer support, answers inquiries, resolves complaints, and assists customers before and after sales.

Types of Call Centres

1. Inbound Call Centre

Receives incoming calls from customers regarding inquiries, complaints, technical support, or product information.

2. Outbound Call Centre

Makes outgoing calls to customers for sales, marketing, surveys, follow-ups, appointment scheduling, and customer feedback.

3. Blended Call Centre

Handles both incoming and outgoing customer calls.

Functions of Call Centres

- Answer customer inquiries.
- Resolve customer complaints.
- Provide technical support.
- Process orders and service requests.
- Conduct telemarketing and customer surveys.
- Collect customer feedback.

Benefits of Call Centres

- Provides quick customer support.
- Improves customer satisfaction.
- Enhances customer loyalty.
- Maintains continuous communication with customers.
- Increases operational efficiency.

Practice of CRM

Practice of Customer Relationship Management (CRM) refers to the application of CRM principles and techniques in different business sectors to build strong customer relationships,

improve customer satisfaction, and increase profitability. The implementation of CRM varies according to the nature of the business and its customers.

CRM in Consumer Markets

In consumer markets, CRM focuses on attracting, satisfying, and retaining individual customers. Organizations collect customer information to understand buying behavior and provide personalized products and services.

Practices of CRM in Consumer Markets

- Customer segmentation.
- Personalized marketing.
- Loyalty and reward programs.
- Customer feedback management.
- After-sales service.
- Online customer support.

Benefits

- Improves customer satisfaction.
 - Increases customer loyalty.
 - Encourages repeat purchases.
 - Increases sales and revenue.
-

CRM in Services Sector

The service sector depends heavily on customer relationships because services are directly delivered to customers. CRM helps service organizations provide fast, reliable, and personalized services.

Applications of CRM in Services Sector

- Banking services.
- Insurance services.
- Hospitals and healthcare.
- Hotels and tourism.

- Educational institutions.
- Telecommunication services.

Benefits

- Better customer service.
 - Faster complaint resolution.
 - Improved customer retention.
 - Higher customer satisfaction.
-

CRM in Mass Markets

Mass markets consist of a large number of customers with similar needs. CRM helps organizations manage a large customer base efficiently by using technology and automation.

CRM Practices in Mass Markets

- Mass marketing campaigns.
- Customer database management.
- Email and SMS marketing.
- Social media marketing.
- Automated customer support.
- Customer data analysis.

Benefits

- Reaches a large number of customers.
 - Reduces marketing costs.
 - Improves communication.
 - Increases market coverage.
-

CRM in Manufacturing Sector

In the manufacturing sector, CRM helps organizations manage relationships with distributors, dealers, retailers, and end customers. It improves coordination throughout the supply chain and enhances customer service.

CRM Practices in Manufacturing Sector

- Dealer and distributor management.
- Order management.
- Customer complaint handling.
- After-sales service.
- Warranty management.
- Customer feedback collection.

Benefits

- Improves product quality.
- Enhances customer satisfaction.
- Strengthens distribution channels.
- Increases customer loyalty.
- Improves business profitability.

UNIT-5

Implementation of CRM

Implementation of CRM

CRM Implementation is the process of introducing and integrating a Customer Relationship Management system into an organization. It involves planning, installing CRM software, training employees, managing customer data, and continuously monitoring the system to improve customer relationships and business performance.

Steps in CRM Implementation

1. Define CRM Objectives

The organization should identify clear objectives such as improving customer satisfaction, increasing customer retention, and enhancing sales performance.

2. Analyze Business Requirements

Business processes, customer needs, and organizational requirements should be carefully analyzed before implementing CRM.

3. Select CRM Software

The organization should choose suitable CRM software based on its size, budget, and business requirements.

4. Collect and Organize Customer Data

Customer information should be collected, verified, and stored in a centralized database for easy access and management.

5. Train Employees

Employees should be trained to use the CRM system effectively and provide quality customer service.

6. Implement the CRM System

The CRM software is installed and integrated with different departments such as sales, marketing, and customer service.

7. Monitor and Evaluate

The organization should regularly monitor CRM performance, collect customer feedback, and make necessary improvements.

Benefits of CRM Implementation

- Improves customer satisfaction.
- Increases customer loyalty.
- Enhances customer retention.
- Improves communication.
- Increases sales and profitability.
- Supports better decision-making.

Issues and Problems in Implementing CRM

Although CRM offers many benefits, organizations may face several challenges during its implementation.

1. High Implementation Cost

Purchasing CRM software, hardware, and employee training requires significant investment.

2. Resistance to Change

Employees may be unwilling to adopt new technologies and business processes.

3. Poor Data Quality

Incorrect, incomplete, or outdated customer data can reduce the effectiveness of CRM.

4. Lack of Employee Training

Employees who are not properly trained may find it difficult to use the CRM system efficiently.

5. Data Security and Privacy Issues

Customer information must be protected from unauthorized access, misuse, and cyber threats.

6. Integration Problems

Integrating CRM with existing business systems and databases can be complex.

7. Lack of Top Management Support

Without support from senior management, CRM implementation may not achieve its objectives.

8. Continuous Maintenance

CRM systems require regular updates, maintenance, and monitoring to remain effective.

9. Customer Resistance

Some customers may hesitate to share their personal information due to privacy concerns.

10. Measuring CRM Performance

Organizations may find it difficult to accurately measure the success and return on investment (ROI) of CRM implementation.

Information Technology Tools in CRM

Information Technology (IT) Tools in CRM are software and technologies used to collect, store, process, and analyze customer information. These tools help organizations improve customer service, automate business processes, and build long-term customer relationships.

1. CRM Software

CRM software manages customer information, sales activities, marketing campaigns, and customer service in a single system.

2. Database Management System (DBMS)

A DBMS stores customer data securely and allows easy retrieval, updating, and analysis of customer information.

3. Data Warehouse

A data warehouse stores large volumes of customer data collected from different sources for analysis and decision-making.

4. Data Mining

Data mining analyzes customer data to identify buying patterns, preferences, and market trends.

5. Cloud Computing

Cloud-based CRM allows organizations to access customer information anytime and from anywhere through the Internet.

6. Artificial Intelligence (AI)

AI helps organizations provide personalized recommendations, predictive analysis, and automated customer support through chatbots and virtual assistants.

7. Mobile CRM

Mobile CRM enables employees to access customer information and manage sales activities using smartphones and tablets.

8. Social Media

Social media platforms help organizations interact with customers, collect feedback, handle complaints, and promote products and services.

Benefits of IT Tools in CRM

- Improves customer service.
 - Automates business processes.
 - Enhances decision-making.
 - Increases customer satisfaction.
 - Improves customer retention.
 - Increases sales and profitability.
-

Challenges of CRM Implementation

CRM implementation may face several challenges that can affect its success.

1. High Implementation Cost

The cost of CRM software, hardware, training, and maintenance can be expensive.

2. Resistance to Change

Employees may resist adopting new technology and changing existing business processes.

3. Poor Data Quality

Incomplete, inaccurate, or outdated customer information reduces the effectiveness of CRM.

4. Lack of Employee Training

Without proper training, employees may not be able to use the CRM system efficiently.

5. Data Security and Privacy

Organizations must protect customer information from unauthorized access and cyber threats.

6. Integration Issues

Integrating CRM with existing business systems can be difficult and time-consuming.

7. Lack of Management Support

Without the commitment of top management, CRM implementation may not achieve its objectives.

8. Continuous Maintenance

CRM systems require regular updates, monitoring, and technical support to ensure smooth operation.

9. Customer Privacy Concerns

Some customers may hesitate to share personal information due to privacy and security concerns.

10. Measuring CRM Success

It can be difficult to measure the effectiveness and return on investment (ROI) of CRM implementation.

CRM Implementation Roadmap

A **CRM Implementation Roadmap** is a step-by-step plan that guides an organization in successfully implementing a Customer Relationship Management (CRM) system. It helps ensure that CRM is implemented in a systematic manner and achieves the desired business objectives.

1. Define Business Goals

The organization should identify clear CRM objectives such as improving customer satisfaction, increasing customer retention, enhancing customer service, and increasing sales.

2. Analyze Business Requirements

The organization should study its existing business processes, customer needs, and organizational requirements to determine the type of CRM system required.

3. Develop CRM Strategy

A CRM strategy should be developed by identifying target customers, planning customer interaction methods, and defining marketing, sales, and customer service strategies.

4. Select CRM Software

The organization should choose suitable CRM software based on its business size, budget, features, and future requirements.

5. Collect and Migrate Customer Data

Customer information should be collected, verified, and transferred into the new CRM system. The data should be accurate, complete, and up to date.

6. Train Employees

Employees should receive proper training on using the CRM system and understanding customer-centric business practices.

7. Implement the CRM System

The CRM system should be integrated with different departments such as sales, marketing, customer service, and finance to ensure smooth operations.

8. Monitor and Improve

After implementation, the organization should regularly monitor CRM performance, collect customer feedback, evaluate results, and make necessary improvements.

Road Map (RM) Performance

Road Map (RM) Performance refers to the evaluation of the CRM implementation roadmap to determine whether the CRM system is achieving its planned objectives and delivering the expected business benefits.

Performance Measures

1. Customer Satisfaction

Measures whether customers are satisfied with the products, services, and support provided by the organization.

2. Customer Retention

Evaluates the organization's ability to retain existing customers over a long period.

3. Sales Growth

Measures the increase in sales and revenue after CRM implementation.

4. Customer Loyalty

Determines whether customers continue purchasing from the organization and recommend its products or services.

5. Employee Productivity

Measures how effectively employees use the CRM system to perform their daily activities.

6. Business Profitability

Evaluates whether CRM has contributed to higher profits and improved business performance.

7. Return on Investment (ROI)

Measures whether the financial benefits obtained from CRM are greater than the implementation and operating costs.

8. Continuous Improvement

Regular monitoring of CRM performance helps identify weaknesses, improve business processes, and enhance customer relationships.

Measuring CRM Performance

Measuring CRM Performance is the process of evaluating how effectively a Customer Relationship Management (CRM) system achieves organizational objectives. It helps an organization determine whether CRM has improved customer satisfaction, customer loyalty, sales performance, and overall business profitability. Regular performance measurement enables organizations to identify strengths, weaknesses, and areas for improvement.

Objectives of Measuring CRM Performance

- Evaluate the effectiveness of CRM.
- Measure customer satisfaction and loyalty.
- Improve customer retention.
- Increase sales and profitability.
- Support better decision-making.
- Identify areas for continuous improvement.

Methods of Measuring CRM Performance

1. Customer Satisfaction

Measures how satisfied customers are with the organization's products and services.

2. Customer Retention

Measures the percentage of customers who continue to do business with the organization.

3. Customer Loyalty

Evaluates the willingness of customers to make repeat purchases and recommend the organization to others.

4. Sales Performance

Measures the increase in sales, revenue, and market share after CRM implementation.

5. Customer Service Performance

Measures response time, complaint resolution, and quality of customer support.

6. Business Profitability

Evaluates the contribution of CRM to organizational profits and business growth.

CRM Metrics

CRM Metrics are quantitative measures used to evaluate the success and effectiveness of CRM activities. These metrics help organizations monitor customer relationships and improve business performance.

Important CRM Metrics

1. Customer Satisfaction Score (CSAT)

Measures the level of customer satisfaction with products or services.

2. Customer Retention Rate

Measures the percentage of customers retained over a specific period.

3. Customer Acquisition Rate

Measures the number of new customers acquired during a given period.

4. Customer Churn Rate

Measures the percentage of customers who stop doing business with the organization.

5. Customer Lifetime Value (CLV)

Measures the total value or profit expected from a customer throughout the entire business relationship.

6. Customer Profitability

Measures the profit earned from each customer after deducting the cost of serving that customer.

7. Sales Growth

Measures the increase in sales and revenue after implementing CRM.

8. Complaint Resolution Time

Measures the time taken to resolve customer complaints and service requests.

9. Response Time

Measures how quickly the organization responds to customer inquiries and requests.

10. Return on Investment (ROI)

Measures the financial return obtained from CRM compared with the total cost of implementation.